Amendment of section 92CA.

21. In section 92CA of the Income-tax Act,—

(*a*) with effect from the 1st April, 2026,—

(*i*) in sub-section (*1*), the following provisos shall be inserted, namely:—

"**Provided** that no reference for computation of the arm's length price in relation to an international transaction or a specified domestic transaction shall be made, if the Transfer Pricing Officer has declared that option exercised by the assessee in sub-section (3B) in relation to such transaction is valid for such previous year:

Provided further that if any reference for an international transaction or a specified domestic transaction, in respect of a previous year, for which the option is declared valid under sub-section (3B) is made before or after such declaration by the Transfer Pricing Officer, the provisions of this sub-section shall have the effect as if no reference is made for such transaction.";

(*ii*) after sub-section (3A), the following sub-section shall be inserted, namely:—

"(3B) The arm's length price, being determined in relation to the international transaction or the specified domestic transaction under sub-section (*3*) for any previous year shall apply to similar international transaction or specified domestic transaction for the two consecutive previous years immediately following such previous year, on fulfilment of the following conditions, namely:—

(*a*) the assessee exercises an option or options to the above effect for the said two consecutive previous years;

(*b*) such option or options are exercised in such form, manner and within such period as prescribed; and

(*c*) the Transfer Pricing Officer shall, within one month from the end of the month in which such option or options are exercised, by an order in writing, declare that such option or options are valid subject to the conditions, as prescribed:

Provided that the provisions of this sub-section shall not apply to any proceedings under Chapter XIV-B.";

(*iii*) after sub-section (*4*), the following sub-section shall be inserted, namely:—

"(4A) Notwithstanding anything contained in sub-section (4), where the Transfer Pricing Officer has declared an option exercised by the assessee as valid option under sub-section (3B), he shall examine and determine the arm's length price in relation to such similar transaction for two consecutive previous years immediately following such previous year, in the order referred to in sub-section (3) and on receipt of such order, the Assessing Officer shall proceed to re-compute the total income of the assessee for the said two consecutive previous years as per the provisions of sub-section (21) of section 155.";

(*b*) in sub-section (9), the proviso shall be omitted;

(*c*) after sub-section (10), the following sub-sections shall be inserted with effect from the 1st April, 2026, namely:—

"(11) If any difficulty arises in giving effect to the provisions of sub-sections (3B) and (4A), the Board may, with the previous approval of the Central Government, issue guidelines for the purpose of removing such difficulty:

Provided that no such guideline shall be made after the expiration of two years from the 1st April, 2026.

(12) Every guideline issued by the Board under sub-section (11) shall be laid before each House of Parliament while it is in session for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both houses agree in making any modification in such guideline or both Houses agree that the guideline, should not be issued, the guideline shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that guideline.".